What's New

Coronavirus (COVID-19) related employment tax credits and other tax relief.

- The Families First Coronavirus Response Act (FFCRA), enacted on March 18, 2020, and amended by the COVID-related Tax Relief Act of 2020, provides certain employers with tax credits that reimburse them for the cost of providing paid sick and family leave wages to their employees for leave related to COVID-19. Qualified sick and family leave wages and the related credits for qualified sick and family leave wages are only reported on employment tax returns with respect to wages paid for leave taken in quarters beginning after March 31, 2020, and before April 1, 2021, unless extended by future legislation. If you paid qualified sick and family leave wages in 2021 for 2020 leave, you will claim the credit on your 2021 employment tax return. Under the FFCRA, certain employers with fewer than 500 employees provide paid sick and family leave to employees unable to work or telework. The FFCRA required such employers to provide leave to such employees after March 31, 2020, and before January 1, 2021. The COVID-related Tax Relief Act of 2020 extends the periods for which employers providing such leave that otherwise meets the requirements of the FFCRA may continue to claim tax credits to wages paid for leave taken before April 1, 2021, although the requirement that employers provide the leave still expired on December 31, 2020. For more information about the credit for qualified sick and family leave wages, including the changes to the credits made under the COVID-related Tax Relief Act of 2020, and to see if future legislation extends the dates that the credit may be claimed, go to *IRS.gov/PLC*. Also check the *Recent Developments* section on *IRS.gov/Form941* or *IRS.gov/Form944*.
- The Coronavirus Aid, Relief, and Economic Security Act (CARES Act), enacted on March 27, 2020, and amended by the Taxpayer Certainty and Disaster Tax Relief Act of 2020, provides eligible employers with an employee retention credit if they keep employees on their payroll, despite experiencing economic hardship related to COVID-19. The employee retention credit is claimed on your employment tax return. The employee retention credit was extended to 2021 for qualified wages paid to employees between January 1, 2021, and June 30, 2021. The employee retention credit was previously available for qualified wages paid to employees between March 13, 2020, and December 31, 2020. Different rules apply for qualified wages paid after December 31, 2020. For more information about the employee retention credit, and to see if future legislation extends the dates that the credit may be claimed, go to *IRS.gov/ERC*. Also check the *Recent Developments* section on *IRS.gov/Form941* or *IRS.gov/Form944*.
- The CARES Act also allows employers to defer the deposit and payment of the employer share of social security taxes. The deferred amount is reported on your 2020 employment tax return. The deferred amount of the employer share of social security tax is only available for deposits due on or after March 27, 2020, and before January 1, 2021, as well as deposits and payments due after January 1, 2021, that are required for wages paid on or after March 27, 2020, and before January 1, 2021. One-half of the deferred amount of the employer share of social security tax is due by December 31, 2021, and the remainder is due by December 31, 2022. Any payments or deposits you make before December 31, 2021, are first applied against your payment due on December 31, 2021, and then applied against your payment due on December 31, 2022. Because both December 31, 2021, and December 31, 2022, are nonbusiness days, payments made on the next business day will be considered timely. For more information about the deferral of employment tax deposits, go to *IRS.gov/ETD* and see the Instructions for Form 941 or the Instructions for Form 944, available at *IRS.gov/Form941* and *IRS.gov/Form944*, respectively.
- The Presidential Memorandum on Deferring Payroll Tax Obligations in Light of the Ongoing COVID-19 Disaster, issued on August 8, 2020, directs the Secretary of the Treasury to defer the withholding, deposit, and payment of the employee share of social security tax on wages paid during the period from September 1, 2020, through December 31, 2020. The deferral of the withholding and payment of the employee share of social security tax was available for employees whose social security wages paid for a biweekly pay period were less than $4,000, or the equivalent threshold amount for other pay periods. The COVID-related Tax Relief Act of 2020 defers the due date for the withholding and payment of the employee share of social security tax until the period beginning on January 1, 2021, and ending on December 31, 2021. For more information about the deferral of employee social security tax, see Notice 2020-65, 2020-38 I.R.B. 567, available at *IRS.gov/irb/2020-38_IRB#NOT-2020-65*, *Notice 2021-11*, and the Instructions for Form 941 or the Instructions for Form 944. For information about how to report the deferred amount of the employee share of social security tax on Form W-2 and Form W-2c for 2020, see *IRS.gov/FormW2* and the 2021 General Instructions for Forms W-2 and W-3 (available in early 2021).

TIP ***Notice 2021-11 modifies Notice 2020-65****. Notice 2020-65 provides that the due date for the deferred amount of the employee share of social security tax is April 30, 2021. However, the COVID-related Tax Relief Act of 2020, enacted on December 27, 2020, defers the due date for the deferred amount of the employee share of social security tax to December 31, 2021. Therefore, Notice 2020-65 was modified by Notice 2021-11 to reflect the new due date. Substitute "December 31, 2021" for the due date of "April 30, 2021" provided*

in previously published instructions. Notice 2021-11 is expected to be published in Internal Revenue Bulletin 2021-06.

Social security and Medicare tax for 2021. The rate of social security tax on taxable wages, except for qualified sick leave wages and qualified family leave wages, is 6.2% each for the employer and employee or 12.4% for both. Qualified sick leave wages and qualified family leave wages aren't subject to the employer share of social security tax; therefore, the tax rate on these wages is 6.2%. The social security wage base limit is $142,800.

The Medicare tax rate is 1.45% each for the employee and employer, unchanged from 2020. There is no wage base limit for Medicare tax.

Social security and Medicare taxes apply to the wages of household workers you pay $2,300 or more in cash wages for 2021. Social security and Medicare taxes apply to election workers who are paid $2,000 or more in cash or an equivalent form of compensation in 2021.

New Form 1099-NEC. There is a new Form 1099-NEC to report nonemployee compensation paid in 2020. The 2020 Form 1099-NEC is due February 1, 2021.

Disaster tax relief. Disaster tax relief is available for those impacted by disasters. For more information about disaster relief, go to *IRS.gov/DisasterTaxRelief*.

New payroll tax credit for certain tax-exempt organizations affected by qualified disasters. Section 303(d) of the Taxpayer Certainty and Disaster Tax Relief Act of 2020 allows for a new payroll tax credit for certain tax-exempt organizations affected by certain qualified disasters. At the time this publication went to print, it was anticipated that the credit will be claimed on new Form 5884-D. Check IRS.gov to see if additional guidance is provided related to claiming this credit.

Reminders

2021 withholding tables. The Percentage Method and Wage Bracket Method withholding tables, the employer instructions on how to figure employee withholding, and the amount to add to a nonresident alien employee's wages for figuring income tax withholding are included in Pub. 15-T, Federal Income Tax Withholding Methods, available at *IRS.gov/Pub15T*. You may also use the Income Tax Withholding Assistant for Employers at *IRS.gov/ITWA* to help you figure federal income tax withholding.

Moving expense reimbursement. P.L. 115-97 suspends the exclusion for qualified moving expense reimbursements from your employee's income for tax years beginning after 2017 and before 2026. However, the exclusion is still available in the case of a member of the U.S. Armed Forces on active duty who moves because of a permanent change of station due to a military order. The exclusion applies only to reimbursement of moving expenses that the member could deduct if he or she had paid or incurred them without reimbursement. See *Moving Expenses* in Pub. 3, Armed Forces' Tax Guide, for the definition of what constitutes a permanent change of station and to learn which moving expenses are deductible.

Withholding on supplemental wages. P.L. 115-97 lowered the withholding rates on supplemental wages for tax years beginning after 2017 and before 2026. See section 7 for the withholding rates.

Backup withholding. P.L. 115-97 lowered the backup withholding rate to 24% for tax years beginning after 2017 and before 2026. For more information on backup withholding, see *Backup withholding*, later.

Qualified small business payroll tax credit for increasing research activities. For tax years beginning after 2015, a qualified small business may elect to claim up to $250,000 of its credit for increasing research activities as a payroll tax credit against the employer share of social security tax. The payroll tax credit election must be made on or before the due date of the originally filed income tax return (including extensions). The portion of the credit used against the employer share of social security tax is allowed in the first calendar quarter beginning after the date that the qualified small business filed its income tax return. The election and determination of the credit amount that will be used against the employer share of social security tax are made on Form 6765, Credit for Increasing Research Activities. The amount from Form 6765, line 44, must then be reported on Form 8974, Qualified Small Business Payroll Tax Credit for Increasing Research Activities. Form 8974 is used to determine the amount of the credit that can be used in the current quarter. The amount from Form 8974, line 12, is reported on Form 941 or Form 944. For more information about the payroll tax credit, see Notice 2017-23, 2017-16 I.R.B. 1100, available at *IRS.gov/irb/2017-16_IRB#NOT-2017-23*, and *IRS.gov/ResearchPayrollTC*. Also see the line 16 instructions in the Instructions for Form 941 (line 13 instructions in the Instructions for Form 944).

Certification program for professional employer organizations (PEOs). The Stephen Beck, Jr., Achieving a Better Life Experience Act of 2014 required the IRS to establish a voluntary certification program for PEOs. PEOs handle various payroll administration and tax reporting responsibilities for their business clients and are typically paid a fee based on payroll costs. To become and remain certified under the certification program, certified professional employer organizations (CPEOs) must meet various requirements described in sections 3511 and 7705 and related published guidance. Certification as a CPEO may affect the employment tax liabilities of both the CPEO and its customers. A CPEO is generally treated for employment tax purposes as the employer of any individual who performs services for a customer of the CPEO and is covered by a contract described in section 7705(e)(2) between the CPEO and the customer (CPEO contract), but only for wages and other compensation paid to the individual by the CPEO. To become a CPEO, the organization must apply through the IRS Online Registration System. For more information or to apply to become a CPEO, go to *IRS.gov/CPEO*. Also see Revenue Procedure 2017-14, 2017-3 I.R.B. 426, available at *IRS.gov/irb/2017-03_IRB#RP-2017-14*.